

“May you live in interesting times” – ancient Chinese proverb

MYDA Advantage, LP (“MYDA” or the “Fund”) returned +1.26% in Q1 of 2025, compared to -4.59% for the S&P 500. US equities were down in Q1 as the Trump Administration's tariff policies and the uncertainty surrounding their potential economic impact weighed heavily on the market. Q1 was the worst quarter for US equities since Q3 2022, which was the peak of the Fed rate hike cycle. “Magnificent 7” and AI related names were not immune, as the sell-off was exacerbated by the frothy valuations of many of these stocks. The Fund delivered positive performance in Q1, driven primarily by strong results from the short book and from the contribution of certain value longs. Notably, our short book was additive in all three months of the quarter and three of the top five contributors for the quarter were short positions. Our outperforming value longs consisted of companies whose earnings power remain relatively immune from potential tariff impacts. A primary goal of the Fund is to closely match the upside performance of the S&P 500 while outperforming the downside. Q1 2025 is a good example of what that downside outperformance can look like.

The Fund's top winner for Q1 was its long position in Philip Morris International Inc. (PM). PM acquired Swedish Match in late 2022, giving it ownership over the ZYN brand of tobacco-free nicotine pouches designed for adult nicotine users. As a tobacco-free product, ZYN received marketing approval from the FDA in January 2025 as its products were found to pose lower risks of cancer and other serious health conditions compared to cigarettes and smokeless tobacco. The Fund started to purchase shares of PM mid-2024, as we believed the stock was undervalued based on the popularity and growth potential of ZYN. PM also boasted a dividend yield of over 5% at the time we initiated the position. We believed PM was the rare combination of a growth (through ZYN) and value (stable cash flow/ high dividend yield) stock. PM's shares performed well during the recent volatility as they manufacture ZYN (and other products) locally, so any potential tariff issues are limited. Over the past few quarters PM's earnings reports showed continued strong sales growth of ZYN and its share price appreciated accordingly. We recently exited the position after PM reported strong Q1 2025 earnings, as we concluded that we were no longer early to the ZYN story and much of the upside was now priced in.

Another top winner was the Fund's long position in AT&T, Inc. (T). Since John Stankey assumed the role of CEO, T has streamlined its operations by refocusing on its core telecom asset (wireless and fiber broadband), while divesting non-core media and ancillary businesses. Simultaneously, the company has taken meaningful steps to reduce leverage. These strategic initiatives began to show tangible results in 2024, as improved operational execution led to stronger financial performance. At that time, the stock traded at a compelling valuation and offered a 5% dividend yield. In late 2024, the stock pulled back with the broader market. We used this weakness to more than double our position as we believed the company's strategic initiatives would continue to bear fruit into 2025. Following strong fourth-quarter earnings reported in early January, T's stock rebounded sharply, reaching new multi-year highs. We continue to like T long as it continues to trade at an attractive valuation, yields over 4% and has limited/no tariff exposure.

The top detractor for the quarter was our long position in Core Scientific, Inc. (CORZ). CORZ was a top winner for the Fund in 2024 and we wrote about it in detail in our Q2 2024 letter. CORZ ran into some headwinds in Q1, as several reports indicated that Microsoft Corporation (MSFT) was slowing down and/or pausing some data center construction projects. This slowdown could directly affect CORZ through its relationship with CoreWeave Inc. (CRWV) as MSFT is CRWV's biggest customer accounting for 62% of CRWV's 2024 revenue. CRWV accounts for a significant portion of CORZ's current and future revenue. The companies have multiple agreements, including one worth \$6.7 billion over 12 years, with the potential for additional revenue streams. One specific agreement, announced in February 2025, brings an additional \$1.2 billion in contracted revenue. Overall, CORZ's relationship with CRWV is a major driver of CORZ's growth potential. CRWV was also planning a highly anticipated IPO for Q1, but the MSFT news, coupled with a volatile stock market, forced CRWV to reduce the number of shares it offered as well as the final offering price which came at \$40 per share, a significant discount to initial indications of \$47-\$55 per share. The volatility surrounding the CRWV IPO also pressured CORZ shares as CRWV carries much debt and the success of its IPO was perceived to be vital to managing its balance sheet. We believe that MSFT and other hyperscalers still plan to invest heavily in data center infrastructure and continue to see strong AI demand. We also believe that even though the CRWV IPO priced well below the range, it is now a public company and can use its public equity to help finance itself in the future to the benefit of its partners such as CORZ. For these reasons we added to our CORZ position on the Q1 weakness, and it continues to be a core position for the Fund.

As we entered Q2, market volatility continued with the VIX hitting a high of over 60 and the S&P 500 giving back almost all of 2024 gains on April 7. Recently, the Trump Administration has softened its tone on tariffs and has delayed the implementation of most reciprocal tariffs. President Trump also backed off from his previous assertions that he wanted to fire Chairman Powell. The market has staged a remarkable rally since then, however we expect continued volatility for the foreseeable future as uncertainty remains on tariffs (and their effect on corporate earnings), interest rates and inflation. For now, we plan to keep our exposure on the "lighter" side, to allow us to stay nimble and take advantage of market dislocations that will likely continue in the context of a confusing and dynamically changing macro landscape.

We wanted to thank all of you for your continued partnership and support during these "interesting" times and feel free to reach out to us with any questions

- MYDA Advisors

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